University of Asia Pacific

Department of Computer Science and Engineering

IMG 401 (Industrial and Operational Management)

Class Test 1 (4/1-C)

Full Marks: 10 **Time: 30 minutes**

Student ID: **Student Name:**

1. A garment factory planned to produce 10,000 shirts per week. Although planning and work assignment were done properly, the production manager did not set clear performance standards or regularly monitor output. After several weeks, the company found production had dropped to 7,200 shirts, causing delivery delays and customer complaints. Identify the management function that was not properly performed in the scenario and explain briefly. **[5]**

2. Explain "Capacity Balance" and describe the way it related to Operations Management. **[5]**

(Start writing from here)

1. **Ans:** The management function that was not properly performed in this scenario is **controlling**.

   Controlling involves setting performance standards, monitoring actual performance, and taking corrective actions if there are deviations. In this case, the production manager failed to set clear performance standards and did not regularly monitor output. As a result, production dropped from the planned 10,000 shirts to 7,200 shirts, leading to delays and customer complaints. Proper controlling would have detected the shortfall early and allowed corrective action to maintain the planned production level.
2. **Ans:** Capacity represents the maximum output a system can handle effectively. Understanding and managing capacity prevents both system failure and resource waste. Effective capacity management means matching resources to actual demand with appropriate buffer for variability. Mismanagement causes either operational failure or inefficient resource utilization.

   The Capacity Balance
   Demand > Capacity = System failure
   Capacity >> Demand = Wasted cost